

NextEra Energy Inc (NYSE:NEE)

Executive Summary

You're not buying the quality; you're buying the guidance.

- Most utilities are built to be forgettable, but not NextEra. Behind the steady, rate-regulated earnings of Florida Power and Light sits NextEra Energy Resources, the largest generator of wind and solar power in the U.S. One keeps Florida's lights on, while the other is rebuilding how America makes electricity. Few companies offer the safety of a regulated utility and the growth of the energy transition in a single stock.
- Few developers build clean power cheaper or faster than NextEra. Its size, balance-sheet strength, and priority position in the grid-interconnection queue allow it to secure projects rivals can't even touch. This is an advantage that will likely compound as electricity demand climbs.
- The numbers back the story. NextEra generated roughly \$27 billion in revenue during 2025 at industry-leading margins and earned close to \$7 billion a year. This is no longer a speculative growth story; they are a proven heavyweight.
- The catch is the price. Everything that makes NextEra remarkable is already reflected in the stock, which trades at a fair value. From here, the only real upside runs through management delivering the roughly 8% earnings growth it has promised through 2032. You aren't being paid for what it has already built; you are being asked to bet on what it is promising to deliver. Whether that bet is worth making at today's price is the question this report answers.

Business Overview

Two engines and an enormous appetite for capital.

- The first engine, Florida Power and Light, is the largest regulated utility in the country and the company's ballast. It invests in rate base and earns a regulated return on capital, so a growing Florida customer base compounds earnings mechanically. A rate agreement settled through 2029 at an allowed ROE ~11% locks in that trajectory, a visibility few businesses can match.
- The second engine, NextEra Energy Resources, is the largest wind and solar generator in the United States. It sells its output under long-term purchase agreements that, layered with federal tax credits, deliver utility-like cash flow visibility over a longer runway. Roughly 38 GW operate today, and a 30 GW backlog underwrites the growth management has guided the market to expect.
- Each comes with its own dependency. FPL's returns ride on one state's regulator and its exposure to hurricane seasons, while NEER relies on federal tax credits that a future Congress could rewrite. Neither risk is fatal, but together they are the fine print behind the premium, and they are why the stock is priced for steady execution rather than upside surprises.
- That premium leaves little room for error. NextEra invests roughly \$25 billion a year, well above the roughly \$15 billion of EBITDA its operations generate. It cannot self-fund, causing free cash flow to stay deeply negative. It plugs this gap with debt, tax equity, and structured investor capital. Strip away the story, and the whole case narrows to one question, whether NextEra can earn more than its cost of capital.

Competitive Landscape

NextEra leads the field and the price already knows it.

- In clean power, NextEra has lapped the competition. Its fleet of nearly 38 gigawatts of wind and solar exceeds its two closest rivals combined. That scale arrives at the perfect time. After roughly fifteen years of flat demand, U.S. electricity consumption is set to climb by a fifth this decade, driven by data centers and electrification. No builder is better placed to capture it.
- Excellence this visible is never cheap. Regulated utilities fetch 21 times forward earnings and renewable developers closer to 18. At nearly 21.6 times, NextEra sits above all. Yet the premium is more accounting than advantage. Strip out its heavier leverage and lighter tax bill, and its EV/EBITDA near 13 times sits right in line with the peers it towers over. Investors pay full price for the finest operator in the sector, with no margin of safety in return.

Rating:

HOLD

Current Price:

\$86.55

Price Target / Upside

\$87.00 / +0.5%

52-Week Price High / Low:

\$98.75 / \$69.24

Shares O/S:

2,071M

Market Cap:

\$179.2B

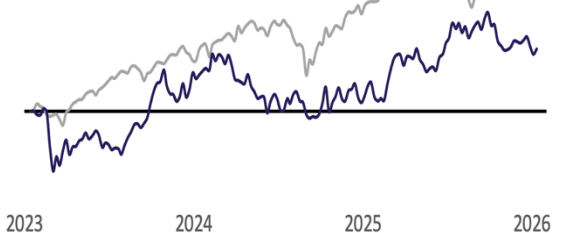
Key Metrics Overview

Enterprise Value:	\$284B
EV/EBITDA (FY25A, adj.):	13.0x
P/E (2026E, adj.):	21.6x
ROIC:	5.1%
Net Debt/EBITDA:	6.2x
Upcoming Earnings Date:	10/27/2026

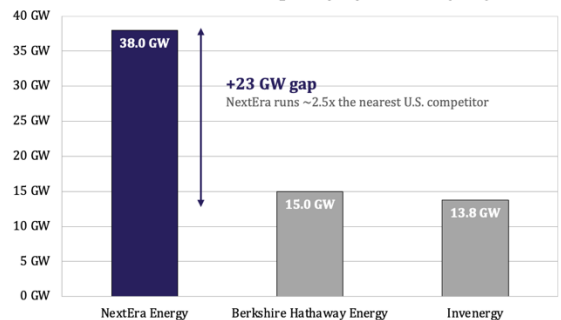
NEE vs. S&P-500

S&P-500 — 3Y — 78%

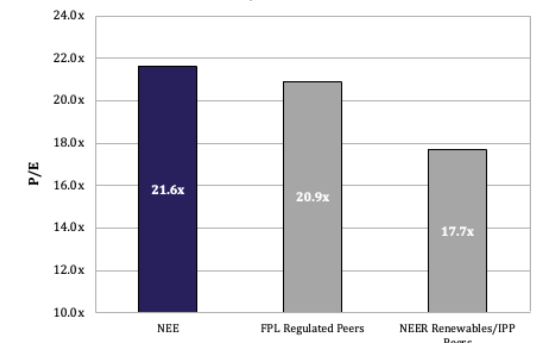
NEE — 3Y — 27%



U.S. Wind & Solar Capacity by Owner (GW)



Forward P/E: NEE vs. Peers



Energy Coverage Group | Ryan Roberts | NextEra Energy Inc

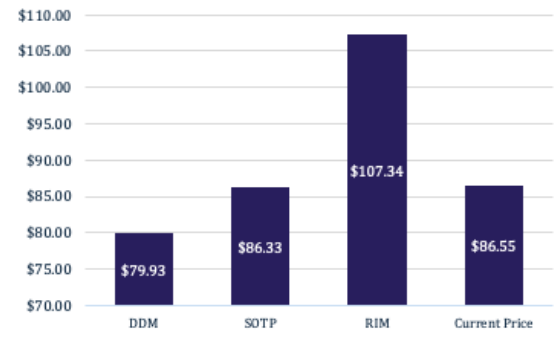
- The premium buys scale, but that cannot lift returns. Roughly two-thirds of profit comes from FPL, whose allowed returns have just been capped at 10.95% through 2029. The rest rides on renewables, where the bull case lives. There, a flood of capital is bidding up every new project and thinning the returns, for the leader and its rivals alike. Winning the most volume no longer means earning the most on it. The scale is already reflected in the price, and the growth that could push it higher is only decreasing in profitability.

Valuation Summary

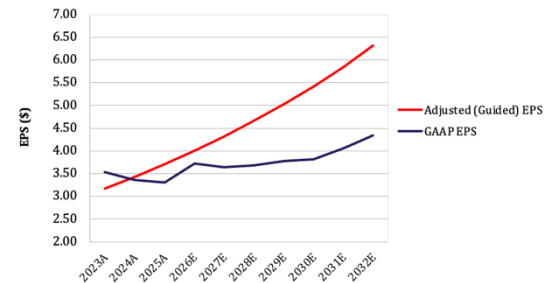
A bull case the fundamentals won't back.

- Three methods, three independent lenses, and the base cases agree. A dividend discount model puts the stock at \$80 per share and a sum-of-the-parts at \$86, all but identical to the \$80-90 price range it has traded at over the past few months. Only a residual income model runs higher, to \$107, and only because it capitalizes the returns management has promised. Strip out that lone optimistic read, and the business is worth almost exactly its current price.
- Look closely at that promise. Management guides adjusted earnings up about 8% a year, to \$6.30 by 2032. GAAP earnings, the figure that reaches shareholders, grow at half that pace to just \$4.30. The gap between the two widens every year. The bull case survives only if you pay for the adjusted line and trust it over the audited one beneath.
- Set the accounting aside, and a bigger problem remains. Return on invested capital sits near 5% today and drifts toward 4% as the buildout scales. The cost of that capital climbs to meet it. The two cross around 2028, and from there each new dollar invested earns less than it costs. A company that grows like this does not compound value; it consumes it. Investors are paying a premium for the very growth that erodes their returns.
- The conclusion does not hinge on harsh inputs. The beta is not a single borrowed regression figure, but one built from the ground up. Twenty peers, split between regulated utilities and renewable developers, were unlevered and reweighted by revenue. The result is a 0.43 beta and a 6.6% cost of equity. Both run low because most of the company is regulated. Terminal growth stays at a conservative 3%. A discount rate this low flatters the bull case. Even so, the stock reaches only fair value, and returns still fall short of their cost.
- This leaves a stock with nowhere to go. The operating model shows a company that spends more than it earns, with free cash flow negative in every year ahead. Buy it, and the price already holds the full value of the business, plus a promise the fundamentals cannot back. Sell it, and the wager runs against a dominant, investment-grade utility with a growing dividend beneath it. At \$87, neither side gets paid. A great company at a fair price is a fine thing to own, but a poor one to buy. The only edge left is patience. Wait for the price, not the company.

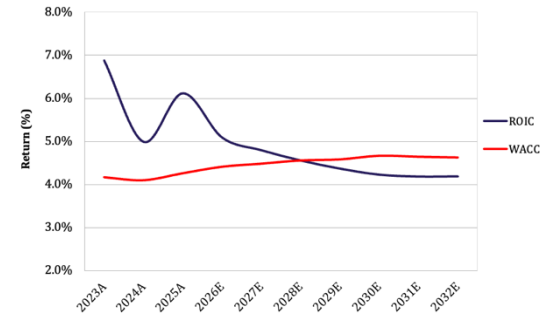
Valuation vs Current Price (\$/share)



Adjusted (Guided) vs. GAAP EPS (\$)



ROIC vs WACC



Operating Model (\$ in Millions, Normalized)

Valuation Date: 08/03/2026

NextEra Energy, Inc. - NYSE: NEE	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	2031E	2032E
Revenue	28,114	24,753	27,412	30,153	33,169	36,419	39,879	43,588	47,598	51,929
% Growth	34.2%	-12.0%	10.7%	10.0%	10.0%	9.8%	9.5%	9.3%	9.2%	9.1%
EBITDA	16,116	12,941	14,860	16,373	18,011	19,776	21,654	23,668	25,846	28,197
% Margin	57.3%	52.3%	54.2%	54.3%	54.3%	54.3%	54.3%	54.3%	54.3%	54.3%
EBIT	10,237	7,479	8,280	9,813	10,550	11,347	12,217	13,181	14,286	15,536
% Margin	36.4%	30.2%	30.2%	32.5%	31.8%	31.2%	30.6%	30.2%	30.0%	29.9%
NOPAT	8,824	7,059	9,746	9,224	9,811	10,439	11,118	11,863	12,857	13,983
Depreciation and Amortization	5,879	5,462	6,580	6,560	7,461	8,428	9,437	10,487	11,560	12,661
Deferred Taxes & Investment Tax Credit	810	753	907	904	1,028	1,161	1,300	1,445	1,593	1,745
Other Funds	306	284	342	341	388	438	491	545	601	658
Funds From Operation	15,819	13,558	17,575	17,030	18,688	20,467	22,346	24,340	26,611	29,047
Receivables	(1,502)	705	(558)	(575)	(633)	(682)	(726)	(778)	(841)	(909)
Inventories	(632)	297	(235)	(242)	(266)	(287)	(305)	(327)	(354)	(382)
Accounts Payable	1,980	(930)	736	758	834	899	957	1,026	1,109	1,198
Other Assets/Liabilities	(1,727)	(13)	(578)	(250)	(275)	(297)	(316)	(338)	(366)	(395)
Change in Working Capital	(1,881)	59	(635)	(309)	(340)	(366)	(390)	(418)	(452)	(488)
Capital Expenditures	(25,113)	(24,729)	(24,606)	(28,000)	(30,500)	(32,441)	(34,437)	(36,033)	(37,777)	(38,671)
Unlevered Free Cash Flow	(11,175)	(11,112)	(7,666)	(11,279)	(12,152)	(12,340)	(12,481)	(12,111)	(11,618)	(10,112)

Sources: SEC EDGAR, YahooFinance, S&P Global, Bloomberg, NextEra Energy IR

The information provided in this equity research report has been prepared solely for educational purposes and should not be interpreted as professional financial advice or a recommendation to buy, sell, or hold any securities. The analysis and opinions expressed within are the result of academic research conducted by Stanton Research Group and are not intended to serve as a basis for investment decisions. Stanton Research Group, its members, and contributors do not guarantee the accuracy, completeness, or timeliness of the information presented. Readers are advised to consult with a licensed financial professional before making any investment decisions.

